ORGANIZATION OF THE PETROLEUM EXPORTING COUNTRIES

The Organization of the Petroleum Exporting Countries (OPEC) is a permanent intergovernmental organization. This regional body was created at the Baghdad Conference during 10–14 September 1960 by Iran, Iraq, Kuwait, Saudi Arabia and Venezuela. Later, several other countries joined the OPEC: They were Qatar (1961); Indonesia (1962) which was suspended of its membership from January 2009; Socialist Peoples Libyan Arab Jamahiriya (1962); United Arab Emirates (1967); Algeria (1969); Nigeria (1971); Ecuador (1973), which was suspended of its membership from December 1992–October 2007; Angola (2007); and Gabon (1975–1994).

According to OPEC statutes, one of its principal goals is the determination of the best means for safeguarding the Organization's interests, individually and collectively. OPEC also pursues ways and means of ensuring the stabilization of prices in international oil markets with a view to eliminating harmful and unnecessary fluctuations, giving due regard at all times to the interests of the producing nations and to the necessity of securing a steady income to the producing countries; an efficient, economic and regular supply of petroleum to consuming nations, and a fair return on their capital to those investing in the petroleum industry.

Therefore, OPEC has the vital objective to coordinate and unify petroleum policies among the member countries, in order to secure fair and stable prices for petroleum producers; an efficient, economic and regular supply of petroleum to consuming nations; and a fair return on capital to those investing in the industry. This policy is also designed to ensure that oil consumers continue to receive stable supplies of oil.

Article 2 of the OPEC Statute embodies the principles of the Organization. They are:

- The principal aim of the Organization shall be the coordination and unification of the petroleum policies of the member countries and the determination of the best means for safeguarding their interests, individually and collectively.